LONDON BOROUGH OF CROYDON

REPORT:		**Council**
DATE OF DECISION:		**25 February 2026**
REPORT TITLE:		**The Council's Budget 2026-27**
CORPORATE DIRECTOR / DIRECTOR:		**Elaine Jackson, Interim Chief Executive** **Conrad Hall, Corporate Director of Resources (Section 151 Officer)**
LEAD OFFICER:		**Conrad Hall, Corporate Director of Resources (Section 151 Officer)**
LEAD MEMBER:		**Councillor Jason Cummings, Cabinet Member for Finance**
REPORT FOR: (Noting or Decision/Approval):		**Decision / Approval**
KEY DECISION?	**Yes**	**2925CAB** **REASON:** Decision incurs expenditure, or makes savings, of more than £1,000,000 or such smaller sum which the decision-taker considers is significant having regard to the Council's budget for the service or function to which the decision relates and Decision significantly impacts on communities living or working in an area comprising two or more Wards
CONTAINS EXEMPT INFORMATION?	**No**	**Public** **Grounds for the exemption: N/A**
WARDS AFFECTED:		**All**

1 EXECUTIVE SUMMARY

1.1 The purpose of this report is to enable Council to calculate and set the Council Tax for 2026-27.

1.2 The Localism Act 2011 made significant changes to the Local Government Finance Act 1992 (“the Act”) and now requires the billing authority to calculate a Council Tax requirement for the year, not its budget requirement as previously.

1.3 The Council has to formally resolve that it calculates certain figures, which broadly are:
• its gross expenditure, including contingency and levies (but not precepts);
• its gross income from fees & charges and other sources, specific grants, external finance from the Government, and any surplus/deficit on the collection fund;
• the difference between the two, being the amount which the Council needs for its own services to be paid from the collection fund, defined as the Council Tax requirement;
• the basic amount of Council Tax for the net position of all these figures, including precepts; and
• the amount of Council Tax for each other category of dwelling.

1.4 Appendices to this report include:
- Appendix 1A which is the draft minutes of the Cabinet meeting of 11 February 2026 (to follow);
- Appendix 2 is the calculation of the Council Tax requirement and Council Tax;
- Appendix 2A is the Final Local Government Finance Settlement Update;
- Appendix 3 is the Budget Scrutiny Report and Executive Response;
- Appendix 4F is the 2026-27 Section 25 Statement by the Corporate Director of Resources (Section 151 Officer).

1.5 The Budget 2026-27 and Medium Term Financial Strategy 2026-30 Report was presented to 11 February Cabinet. That Report is included as Appendix 4 to this Report but with the following changes:
- It incorporates Calculation of the 2026-27 Council Tax requirement and Council Tax bands in Appendix 4E (which was marked to follow at Cabinet).

1.6 The Council is also required to formally approve the management of the Council’s treasury management functions, including the Treasury Management Strategy Statement, Prudential Indicators, Annual Minimum Revenue Provision Policy Statement and Borrowing Strategy; the Capital Strategy & Programme; and the Housing Revenue Account Budget for 2026-27 as set out in the HRA Business Plan and Budget Update 2026-27.

1.7 The Treasury Management Strategy Statement and the Capital Programme & Strategy, with all related documents, were reported to Cabinet separately on 11 February 2026 along with the HRA Business Plan and Budget Update 2026-27. These reports are attached as Appendices 5, 6 and 7.

2 RECOMMENDATIONS

For the reasons set out in the report and its appendices, and as recommended by Cabinet of 11 February 2026, Council is recommended to:

2.1 Consider the Scrutiny Budget Report and the Executive response to the recommendations in the Scrutiny Budget report relating to the budget proposals, Appendix 3.

2.2 Consider the responses to the statutory consultation with businesses on the budget proposals (refer section 7 of this report).

2.3 Consider and have due regard to the equalities impact assessment undertaken on the budget proposals in the Budget Cabinet Report, Appendix 4H.

2.4 Note the Council's request for Exceptional Financial Support (EFS) in the form of a Capitalisation Direction from the Ministry for Housing, Communities and Local Government (MHCLG) of up to £119m for 2026-27, decreasing to £69m by 2029-30.

2.5 Approve an increase in the Croydon element of the 2026-27 Council Tax charge by 4.99% (including the Adult Social Care precept levy of 2.00%) (Band D increase £99.30)

2.6 Note that the Greater London Authority (GLA) will be meeting on 26 February 2026 to agree the GLA element of Council Tax (i.e. GLA precept) and this is a day after the Full Council budget meeting.

2.7 Owing to paragraph 2.4 above, approve the establishment and appointment of a special Council Tax Setting Committee, the terms of reference and membership as set out in Appendix 8 and to meet following receipt of the GLA precept and to agree the final Council Tax calculation and within the remit approved by Full Council.

2.8 Approve the setting of the Council's net budget requirement for 2026-27 at £485.401m.

2.9 Approve the calculation of the Council Tax requirement of £288,943,962 and the Council's element of Council Tax by band as set out in Appendix 2.

2.10 Note that the Final Local Government Finance Settlement (LGFS) was published on 9 February 2026 and this increased the Homelessness, Rough Sleeping and Domestic Abuse Grant by £0.755m, compared to the Provisional LGFS, to £8.964m (as set out in Appendix 2A). This does not change the net budget requirement or Council Tax requirement for the Council.

2.11 Note the announcement provided with the Final LGFS with regard to the Government's approach to Dedicated Schools Grant (DSG) deficits as set out from paragraph 5.3.

2.12 Approve the budget proposals set out throughout this report and its appendices.

2.13 Approve the Reserves Policy as set out in Appendix 4G.

2.14 Approve that the Corporate Director of Resources be authorised to collect and recover National Non-Domestic Rate and Council Tax in accordance with the Local Government Finance Act 1988 (as amended) and the Local Government Finance Act 1992.

2.15 Consider the statement (Appendix 4F of the Report) of the Corporate Director of Resources and S151 Officer, under Section 25 of the Local Government Act 2003, regarding the adequacy of reserves and robustness of estimates.

2.16 Approve that the Council Tax Support scheme (statutory local Council Tax reduction scheme) under Section 13A(2) of the Local Government Finance Act 1992 is not changed from that agreed by Full Council resolution on 6th March 2024 and endorsed without change by Full Council resolution on 26 February 2025.

2.17 Approve the Council's 2025-31 General Fund Capital Programme, Appendix 5B, which includes planned expenditure of £874.1m (including capitalisation directions of £543.1m) across the six year period. This includes expenditure financed through borrowing of £682.8m over the six years and the cost of this future borrowing is factored into the Council's Medium Term Financial Strategy.

2.18 Approve the Council's Capital Strategy 2026-27, as detailed within Appendix 5A of this report.

2.19 Consider any recommendations received from the Executive Mayor and Cabinet relating to, and approve, the Treasury Management Strategy Statement 2026-27 as set out in Appendix 6.

2.20 Approve the Prudential Indicators as set out in Appendix 6A.

2.21 Approve the Annual Minimum Revenue Provision Policy Statement (required by the Local Authorities (Capital Financing and Accounting) (England) (Amendment) Regulations 2008SI 2008/414) as set out in Appendix 6B.

2.22 Approve the Borrowing Strategy (Sections 7.18 to 7.23) and Investment Strategy (Section 8) of the Treasury Management Strategy Statement 2026-27 report (Appendix 6).

2.23 Approve the HRA budget for 2026-27 including the HRA capital programme (Appendix 7).

2.24 Approve the HRA 30 Year Business plan based on the HRA budget for 2026-27 (Appendix 7A).

2.25 Note the assumptions in the HRA Business Plan and the associated risks.

3 REASONS FOR RECOMMENDATIONS

3.1 The Council is obliged to set a balanced budget and Council Tax charge annually in accordance with the Local Government Finance Act 1992.

3.2 Under the Financial Regulations within the Constitution of the London Borough of Croydon (Part 4H), Full Council is responsible for approving the capital programme and capital strategy, including prudential indicators for capital finance and borrowing; the policy on Minimum Revenue Provision (MRP); and the treasury management strategy and reserves policy.

3.3 Full Council is required to approve the Housing Revenue Account Budget.

4 CONTRIBUTION TO EXECUTIVE MAYOR PERRY'S BUSINESS PLAN

Outcome 1: The Council balances its books, listens to residents and delivers good sustainable services.	Outcome 2: Croydon is a place of opportunity for business, earning and learning.	Outcome 3: Children and young people in Croydon have the chance to thrive, learn and fulfil their potential.	Outcome 4: Croydon is a cleaner, safer and healthier place, a borough we're proud to call home.	Outcome 5: People can lead healthier and independent lives for longer.
✓	✓	✓	✓	✓

5 BACKGROUND AND DETAILS

5.1 As set out in the reports to Cabinet of 11 February 2026 and the associated appendices.

5.2 Appendix 2A shows the changes from the Final Local Government Finance Settlement (LGFS) published on 9 February 2026. This increased the Homelessness, Rough Sleeping and Domestic Abuse Grant by £0.755m, compared to the Provisional LGFS, to £8.964m. This does not change the net budget requirement or Council Tax requirement for the Council.

Dedicated Schools Grant (DSG) Deficit

5.3 Alongside the Final LGFS, the Government published an explanatory note on the Government's approach to Dedicated Schools Grant deficits: Explanatory note on the government's approach Dedicated Schools Grant deficits - GOV.UK. This note details the calculation of the High Needs Stability Grant allocations, arrangements for local authorities that participated in the Safety Valve programme and grant conditions.

5.4 To determine the allocation of the High Needs Stability Grant that an individual local authority will receive, DfE and MHCLG will look at the full range of sources available on local authority expenditure to determine the total Dedicated Schools Grant deficit that is eligible for a grant (90% of the eligible deficit at 31/3/26).

5.5 Given this new approach to DSG deficits, the Safety Valve programme will end. No local authority will be disadvantaged by its participation: every Safety Valve local authority will receive at least the same amount of grant through this arrangement as they would have through Safety Valve, and any local contributions already made will count as part of the 10% remaining deficit that will fall to local authorities to cover.

5.6 Grant allocations will be paid by DfE as a Section 31 grant from the autumn. Exact payment timings will depend on local authorities meeting local SEND reform plans conditions. Local SEND reform plans are to be developed collaboratively by local area partnerships - including schools, health, early years settings and post-16 providers – to ensure the plan reflects the shared responsibility of the whole local system in supporting children and young people.

5.7 As at 31/3/25, the deficit balance on the DSG adjustment account was £38.0m. The net effect of the adjustment account and £9.9m DSG reserve is a deficit of £28.1m at 31/3/25. The 2025-26 forecast overspend for the DSG is £19m, being £20m for the high needs block less a £1m forecast underspend in the early years block.

5.8 Initial estimates suggest the High Needs Stability Grant grant for Croydon could be in the range of £35m to £40m. The schools white paper, which is expected soon, will help to clarify ongoing funding arrangements for high needs and help to confirm the position post the conclusion of the statutory override (currently March 2026 but the Government has previously committed to extend this to March 2028).

6 LEGAL, FINANCIAL AND EQUALITIES IMPLICATIONS

6.1 As set out in the reports to Cabinet of 11 February 2026 and the associated appendices of this report.

7 CONSULTATION

7.1 As detailed in Section 7, Consultation, of the Budget Cabinet Report (Appendix 4).

7.2 As at the time of publishing (17/2/26) there have been no responses on the budget to the Council email address provided in the budget report (communications@croydon.gov.uk).

8 APPENDICES

Appendix 1 Decision notice – Cabinet meeting of 11 February 2026

Appendix 1A Draft minutes of the Cabinet meeting of 11 February 2026 (to follow in the supplementary agenda)

Appendix 2 Calculation of the 2026-27 Council Tax requirement and Council Tax bands

Appendix 2A Final Local Government Finance Settlement Update

Appendix 3 Budget Scrutiny Report and Executive Response

Appendix 4 Revenue Budget and Council Tax levels 2026-27 Report updated with the following since Cabinet:

- It incorporates the calculation of the 2026-27 Council Tax requirement and Council Tax in Appendix E (which was marked to follow at Cabinet)

Appendix 5 Capital Programme and Capital Strategy 2025-31 – Cabinet Report 11 February 2026

Appendix 6 Treasury Management Strategy Statement, Minimum Revenue Provision Policy Statement and Annual Investment Strategy 2026-27 – Cabinet Report 11 February 2026

Appendix 7 HRA Business Plan and Budget Update 2026-27 - Cabinet Report 11 February 2026

Appendix 8 Establishment and Appointment of a Council Tax Setting Committee